

Facebook : **\$800B** Total Value
3B Users

It is valued at 277\$ per User

Twitter : **\$60B** Total Value
300M Users

It is valued at 200\$ per User

Conclusion As a result, we use KPI valuation ratios to compare various firms.

The value of Facebook is 800 billion / 150 billion = 5.5 US dollars per minute spent on the platform, assuming that Facebook has 3 billion members and that each of them spends 50 minutes every day on the application. We can use any such metrics to value the company, one that makes sense to us.

Asset Management Companies

Price / AUM

Let's look at the KPIs of asset management companies that own and manage Indian Mutual Funds.

**What are the important numbers for their business?
 Who are they?**

One of them is AUM.

In such situations AUM (Asset Under Management) is a significant performance indicator for these businesses such as HDFC Mutual Fund which manages 10,000cr. Therefore, each industry has its own specific set of KPIs.

We can also make historical comparisons with this method. For instance, let's say HDFC AMC has 10,000cr AUM and a market cap of 2000 Cr. We can say that the price/Aum is 0.2. Let's say 2 years back, the company had AUM 6000 Cr. and market cap of 1500 cr it meant price/AUM = 0.25. So, we can say that company is relatively cheaper now than its past.

As a result, it is possible to choose the appropriate KPIs, obtain the market price or market cap, and compare them and the company's own historical numbers.

